

AUTORACK, LLC
APPLICATION LICENSE AGREEMENT

This Application License Agreement (the "Agreement") is entered into as of 20, by and between _____, ("Client") located at [XXX, _____] and Autorack, LLC, a California limited liability company ("Autorack") located at 2300 Hastings Drive, Belmont, CA 94002 (collectively, the "Parties"). Autorack is the owner of proprietary software. Autorack and Client agree that the following terms and conditions will apply to use of and access granted to the Application and any and all services provided under this Agreement. The Parties agree that in exchange for good and valuable consideration the receipt and sufficiency of which is hereby acknowledged, the following terms and conditions will apply to the use of the Application by Client.

1. Application.

1.1. **Definition.** "Application" is the [warehouse inventory tracking] application and/or webpage owned or distributed by Autorack for which Client is granted access and use pursuant to this Agreement; and any related documentation, user guides, installation instructions and release notes ("Documentation"), and updates provided by Autorack to Client.

1.2. Rights Granted.

1.2.1. Grant. Autorack grants to Client and Client accepts from Autorack a limited, non-exclusive, non-transferable right to access and use and permit Client's employees, personnel, and [are there any third parties that will use the Application?] (collectively, "Authorized Users"), to access and use the Application, solely for Client's internal business until terminated in a manner consistent with the Termination provision in Section 9. The Application shall not be used by Client, or by any Authorized Users, for, or on behalf of, any third party that is not expressly authorized to use the Application under this Agreement. Client shall use a [QR Code/web link?/code?] provided by Autorack to add Authorized Users who will have access and login credentials to use the Application. [Will fees be based on the number of users? – The total number of Designated Users will not exceed the number set forth in Section __, except as expressly agreed to in writing by the parties and subject to any appropriate adjustment of the fees payable hereunder.] Neither this Agreement nor any rights to use the Application shall entitle the Client to any enhancement, update or subsequent modification to all or any portion of the Application by Autorack.

1.2.2. Restrictions. Client shall not:

1.2.2.1. Grant any assignment, transfer, or sublicense of any of its rights under this Agreement without the express written prior consent of Autorack, which may be withheld, conditioned or delayed in Autorack's sole and absolute discretion;

1.2.2.2. Display or use only the Application in a medium and manner other than that specifically approved by Autorack; or

1.2.2.3. Directly or indirectly do, omit to do, or permit or assist in any act which will or may dilute the Application, or tarnish or bring into disrepute the reputation of or goodwill associated with the Application or Autorack, or which will or may invalidate or jeopardize any registration of any rights in and to the Application or any element thereof.

1.2.2.4. [Any other restrictions?]

1.2.3. Title. Title to and ownership of all proprietary rights in the Application, and in any Application development made by Autorack, will at all times remain the property of Autorack. Autorack retains all rights, title and interest in the Application and in all improvements, enhancements,

modifications, and derivative works of the Application including all rights to patent, copyright, trade secret, and trademark.

- 1.2.4. **Proprietary Notices.** Client agrees to reproduce any copyright, trademark and other proprietary notices contained on or in the Application and not to remove such notices.
- 1.2.5. **Protection and Security.** Client agrees to secure and protect the Application, monitor access to the Application, and ensure that there is no breach, compromise, or violation of Autorack's rights and title to the Application, by Client's employees, consultants, or independent contractors. In no event will the Client's standard of care be less than Client uses to protect its own confidential information.
- 1.2.6. **Designate Users.** Client agrees that each Designated User will access the Application only through the individualized credentials, provided by Autorack.
- 1.3. **Delivery and Acceptance.** Autorack will provide Client with access to the Application. Client may inspect the Application for a period of **fifteen (15)** days ("Inspection Period") from the effective date of this Agreement. Failure to notify Autorack that the Client rejects the Application within the Inspection Period shall constitute acceptance. During this **fifteen (15)** day period, Client will not use the Application for any purpose other than evaluation. ***[Is there any customization work?]***
- 1.4. **Verification.** Upon at least thirty (30) days prior written notice, Autorack may inspect Client's organizational records related to Client's use of, and access to, the Application to ensure that Client complies with the terms of this Agreement. Such verification will be conducted during Client's regular business hours and will not unreasonably interfere with Client's business operations. ***[Would our access allow us to do this?]***
2. **Services.** "Services" as referenced herein shall refer to the application and web-based platform provided by Autorack that enables Client to ***[Confirm accuracy: track packages and products within Client's warehouse operations, including without limitation: (a) scanning and verifying barcodes against shipping manifests uploaded by Client; (b) identifying and flagging discrepancies, including mis-picks, duplicate scans, and incorrect or unauthorized shipments, prior to order fulfillment and shipment;]*** and (c) any related functionality, support, updates, or features Autorack makes available through the Application from time to time.
 - 2.1. **Application Maintenance and Professional Services.**
 - 2.1.1. Autorack will provide Maintenance Services for the Application during each period for which Client has paid Autorack's fees for use and access to the Application. Maintenance Services begin on the effective date of this Agreement. Maintenance Services shall only include updates to the Application and basic customer service and shall be provided when, as, and if, Autorack in its sole and absolute discretion determines such services are appropriate.
 - 2.1.2. ***[Access? What access does Autorack have/need to Client's internal systems? What are we authorized to do/use and for what purposes?]***
3. **Fees and Payment as Provided in this Agreement.**
 - 3.1. Client agrees to pay Autorack: (a) a monthly "Application Access Fee" equal to ***[\$]*** ***[for each Designated User]***, due and payable on the first day of each month. All payments must be made through the form of ACH, wire transfer, electronic transfer, or other method of payment acceptable to Autorack. All fees shall be due and payable in United States Dollars. In the event that Autorack does not charge Client a Application Access Fee, Client is still responsible for complying with this Agreement and for paying any costs arising out of this Agreement. The Application Access Fee may be changed by Autorack upon **thirty (30) days** notice to the Client. If Client does not wish to pay any such increased Fees, costs, or charges, Client's sole remedy is to terminate this Agreement and cease using the Application.
 - 3.2. **Delinquent Payments.** Any Application Access Fee or additional charges not received within **ten (10)** days of its due date will be assessed a **\$35 charge**, or the maximum amount allowed by law in

the state of California (whichever is less). If any amount remains delinquent **thirty (30)** days after its due date, an additional **1%** penalty will be added for each month of delinquency in order to compensate Autorack for time spent rendering the Services and for business opportunities it might have lost or foregone. **[Deactivation date: If any amount owed by Client remains delinquent for more than [] days after its due date, Autorack may, upon written notice to Client, (a) suspend or terminate Client's access to the Application, (b) deactivate the Application, and/or (c) refuse to activate or launch the Application until any delinquent balance is paid in full.] [Alternative: Autorack reserves the right, in its sole and absolute discretion, (a) suspend or terminate Client's access to the Application, (b) deactivate the Application, and/or (c) refuse to activate or launch the Application until any delinquent balance is paid in full.]** Should collection become necessary, in Autorack's sole discretion, Client shall be liable for all attorney and collection fees incurred from Autorack's efforts to collect any unpaid balance.

4. **Confidentiality.** The terms of this Agreement are confidential and shall not be disclosed by Client or by any agent of Client to any third party without Autorack's express written consent. Neither party shall disclose any confidential or proprietary information belonging to the other party, to any third party, other than disclosures which might be made by Autorack related to the performance of the Services or in the process or rendering the Services. Confidential or proprietary information includes, but is not limited to information relating to research, development, trade secrets, techniques, coding, programing, criminal records, client lists or business affairs as well information, knowledge, trade secrets, data or know-how belonging to third parties in Autorack's possession, but not including information known prior to negotiation leading to this Agreement or information which is generally known or easily ascertainable by persons of ordinary skill in computer design or programming or Client's industry, as applicable. Nothing contained in this Agreement shall prevent Autorack from performing work similar or identical to the Services for others in Client's industry, including direct competitors. Autorack may also disclose that Autorack has performed Services for Client and that Client is a Autorack client.

5. **Intellectual Property Rights.**

- 5.1. This Agreement is intended to provide Client with a limited, non-exclusive, non-transferable right to access and use and to permit Authorized Users, to access and use the Application solely for the Client's internal operations until **December 31, 20**, unless the term is extended. Client has no ownership whatsoever in the Application or in any pre-existing work, underlying code, Autorack's software, software developed for other clients, any rights in the Application not specifically provided hereunder, or any other product of the Services, and Client's only rights are those expressly set forth in this Agreement. Client shall not attempt, or directly or indirectly allow any Authorized User or other third party to attempt, to copy, modify, duplicate, create derivative works from, frame, mirror, republish, reverse compile, disassemble, reverse engineer, download, transmit or distribute all or any portion of the Services, any product of the Services, and/or the Application in any form or media or by any means without Autorack's express written consent. Client may not sell or resell or otherwise transfer any right in any of the Application, Services or any product of the Services without Autorack's express written consent. Client shall not attempt, or directly or indirectly allow any Authorized User or other third party to attempt to copy, modify, duplicate, create derivative works from, frame, mirror, republish, reverse compile, disassemble, reverse engineer, download, transmit or distribute all or any portion of the Services and/or Application in any form or media or by any means.
- 5.2. Autorack retains sole and exclusive ownership of all right, title, and interest in and to the Application and any related web services, applications, underlying code, and Documentation, including but not limited to all pre-existing intellectual property incorporated therein and all modifications, enhancements, and derivative works developed by Autorack, whether before, during, or after the term of this Agreement. Client acknowledges that the Application is a pre-existing, proprietary product of Autorack licensed to Client under this Agreement, and that nothing in this Agreement transfers any ownership interest in the Application to Client. Autorack retains all rights to use, license, sell, or resell the Application, and any expertise, methods, or know-how developed or refined in the course of providing the Services, to other clients or third parties, without further compensation to Client. Client's rights are limited to those expressly granted under this Agreement, and no other rights are granted or implied.

- 5.3. Any and all information or other content provided directly or indirectly by Client to Autorack in conjunction with or arising out of this Agreement is referred to in the Agreement as "Client Content." Autorack reserves the right to utilize "Client Content" in an aggregated and anonymized manner without restriction, including but not limited to using such information to compile statistical and performance information related to the provision and operation of the Services.
6. **Copyrights and Trademarks.** Client is responsible for all activities and content relating to the Services and Application. Notwithstanding Autorack's role, Client is responsible for all material, data, information, pictures, videos or other image, audio recording, information, or content (collectively, "Content"), uploaded through, to or using the Application; or displayed in the context of providing the Services or in the development or use of products of the Services. Client represents to Autorack and unconditionally guarantees that any and all elements of text, graphics, photos, designs, trademarks, or other artwork, if any, furnished to Autorack for the purpose of providing or using the Services are owned by the Client, or the Client otherwise has permission from the rightful owner to use each of these elements as used by Autorack and will hold harmless, protect, and defend Autorack its owner, employees and agents, to the fullest extent lawful, from any losses, claims, damages, liabilities, and expenses, including reasonable attorney's fees, (collectively, "Claims") arising from the use of such elements furnished by the Client. In addition, Client agrees to obtain any releases, permissions, waivers, indemnifications, or transfers of rights reasonably requested by Autorack in connection with the Services.
7. **Publicity.** Autorack shall be entitled to issue a press release or otherwise promote or announce the execution of this Agreement. Autorack may add Client's name to its printed client list and truthfully disclose in general terms to analysts, prospective and current clients, members of the press (informally only) and other interested parties who may otherwise become aware of Autorack's work for the Client that Client is a client of Autorack. Should Client mention Autorack in any of its marketing literature, appropriate language will be added indicating that the Application is developed and owned by Autorack. Neither Autorack nor Client shall disclose or otherwise discuss the financial terms of the agreement with representatives of the press or any other third party, except for disclosures that Autorack may be required to make by investors or potential investors.
8. **Laws Affecting Data Management and Electronic Commerce.** Client agrees to monitor the Application and any other product of the Services, and Client data to ensure that all of Client's work product and all usage of the Application complies in all respects with all Federal, State and local laws and ordinances, as well as any other applicable laws and government regulations, [including but not limited to: the Health Insurance Portability and Accountability Act; the Children's Online Privacy Protection Act; the Computer Fraud and Abuse Act; the EU General Data Protection Regulation (GDPR)] and/or any other applicable data or privacy laws; and any private compliance requirements, including but not limited to Payment Card Industry Data Security Standard. Client further agrees to hold harmless, protect, and defend Autorack its owner, employees and agents, to the fullest extent lawful, from any Claims arising from the Client's use of the Application. Client also agrees to hold harmless, protect, and defend Autorack its owner, employees and agents, to the fullest extent lawful, from any Claims arising from the use of or unauthorized access to data provided by Client.
- 8.1. Client shall not provide, disclose, or transfer to Autorack, or process via, or submit to, Autorack, any Client Content that discloses (1) "confidential client information" as defined by the any applicable statute, rule or regulation; or (2) any information or data that is protected by any applicable law, rule or regulation.
- 8.2. Client agrees to engage in best practices to protect any Client Content uploaded or included by Client on the Application or otherwise provided in the context of using or accessing the Application. Client and Autorack shall treat all Client Content as confidential and shall not disclose it to any third party, except as required by law, regulation, or valid legal process; or where Autorack determines, in its sole and absolute discretion, that disclosure is necessary for the health, safety, or welfare of any individual. Autorack shall not disclose any confidential information, other than disclosures which might be made in the process of rendering the Services.
9. **Termination.** [At the end of the Term [and of each renewal of the Term] set forth in this Agreement, this Agreement shall automatically renew [for an additional 24 month term], unless terminated in a writing

signed by either Party at **least thirty (30) days** prior to the end of the Term [or of any such renewal of the Term]. Subject to Section 3 of this Agreement, this Agreement may be terminated **[prior to the end of the Term]**: (i) upon **thirty (30) days** prior written notice by either Party with or without cause or (ii) by either Party for a breach of any provision of this Agreement by the other Party that is not cured within **thirty (30)** business days of notice. Autorack may also terminate this by Agreement at any time, without notice, for any conduct that Autorack in its sole discretion believes violates this Agreement or is harmful to another Client, third-party, or Autorack's interests. Autorack's obligation to perform Services will terminate automatically, without notice from Autorack, if Client fails to comply with any provision of this Agreement. **Autorack also has the right to suspend Services to Client at any time, and for any reason, with or without notice.** Notwithstanding any termination of this Agreement, Client shall remain responsible for payment of all fees accrued or owing under this Agreement.

9.1. **Rights Upon Termination.** Upon termination of this Agreement, the any and all access to, and usage of the Application granted to Client in Section 1.2.1, along with any other rights, licenses, or permissions granted under this Agreement, shall immediately terminate and cease in all respects. Forty-five (45) days after any suspension or termination of this Agreement, deactivation of the Application, or Client's access to the Application, Autorack has the right to delete all data, files, content or other information that is stored in Client's Account(s) if Client's account with Autorack is terminated for any reason, by either Autorack or Client. Prior to deletion, Autorack agrees to provide a copy of data, files, content, or other information stored in Client's Account with Autorack.

10. **Warranties and Liabilities.**

10.1. Autorack does not warrant that the functions contained in the Application will meet the Client's goals or requirements for client case management. Autorack does not warrant that it or the Application will be in compliance with all applicable laws or regulations (including but not limited to data privacy laws) that might exist in the jurisdiction in which the Application is used; and any private compliance requirements. No selection by Autorack of any third party or service, no recommendation on any matter by Autorack, nothing in this Agreement, nor in any statements made by Autorack, are to be construed as either a promise or guarantee regarding the effectiveness of the Services, including that the operation the Application or any individual component will be uninterrupted or error free. In no event will Autorack be liable to the Client or any third party for any direct, indirect, special, incidental, consequential or exemplary damages (including but not limited to, lost profits, lost savings, or other incidental, consequential, or special damages arising out of the operation of or inability to operate the Application, even if Autorack has been advised of the possibility of such damages, in connection with or arising in any way out of this Agreement or any of the Services or Application. In no event will Autorack be liable to the Client or any third party for any Claims (as defined below) that result from mistakes, omissions, interruptions, deletion of files, data or e-mail, errors, defects, viruses, delays in operation, or transmission, or from any failure of performance.

10.2. Autorack shall incur no liability if it delays or if any of the Services, the Application, or any other product of the Services is not successful or does not achieve the desired result or does not function properly due to any one or more of the following circumstances:

10.2.1. Errors or omissions not corrected by the Client;

10.2.2. The software, server, communication link, or the information service is not working properly or any other interruption of transmission or communications facilities or any equipment failure;

10.2.3. Circumstances beyond Autorack's control (such as, but not limited to, acts of God, strikes, or other labor disputes, legal constraint, civil disorder, catastrophes of nature, fire, explosion, natural or manmade floods or any severe weather, war, emergency conditions, nuclear attack, embargoes, public health emergencies, pandemic, epidemic, actions, or inactions of governmental authorities affected Autorack or suppliers to Autorack, or interference from an outside force) which prevent the proper use or operation of any product of the Services; or

10.2.4. Delays caused by Client or any third party. Without limiting the generality of the foregoing provisions, Autorack will not pay any penalty, loss or interest resulting from its error, delay, difficulty or failure in performing the Services or in any product of the Services, and, in no event

shall the total liability of Autorack or its employees, owner, affiliates, or agents, for all damages, losses and causes of action whether in contract, tort (including negligence), product liability, or otherwise, either jointly or severally, exceed the amount paid for the Services and Application.

10.2.5. Any data or security breach that results in disclosure or unauthorized access to the Application or to any Content, unless such breach is a direct result of Autorack's intentional misconduct.

10.3. **Warranty for Professional Services.** In the event that any products or materials are purchased by Autorack for Client's use, such products or materials or Services are provided "as is." **There are no warranties, express or implied, by operation of law or otherwise, on any products or materials furnished hereunder.** Any implied warranties of merchantability or fitness for particular purpose or use are disclaimed. The foregoing shall constitute Autorack's entire liability and Client's exclusive remedy hereunder. The provisions of this Section are for the benefit of Autorack, its owners, affiliates, and agents, and each shall have the right to assert and enforce the provisions directly on their own behalf.

11. **Indemnification.** Client agrees to defend, indemnify and hold harmless Autorack, its owners, partners, employees and agents, to the fullest extent lawful, from any losses, claims, damages, liabilities, and expenses, including reasonable attorney's fees, (collectively, "Claims") to which Autorack may become subject, related to or arising out of this Agreement or arising out of, or in connection with, the Services, any product of the Services or the operation of the Application. Client further agrees to defend, indemnify and hold harmless Autorack from any Claims resulting from any of the Services which damage Client, or any other party or parties, except in case of intentional misconduct by Autorack. The provisions of this Section shall survive any termination of this Agreement. Autorack shall be responsible only for performing the Services expressly provided for in this Agreement, and shall be liable only if it engages in intentional misconduct in performing those Services. Autorack shall not be responsible for the Client's or any other person or entity's acts or omissions, including without limitation any transmission or communications facility, any third party whether or not hired as a subcontractor by Autorack and neither such person nor any such entity, shall be deemed to be an agent or representative of Autorack.

12. **Limitations of Liability.**

12.1. **Limitations on Damages.** AUTORACK SHALL NOT BE LIABLE OR OBLIGATED IN ANY MANNER FOR ANY LOSS OF DATA OR USE, INTERRUPTION OF BUSINESS, OR ANY INDIRECT, SPECIAL, INCIDENTAL OR CONSEQUENTIAL DAMAGES OF ANY KIND (INCLUDING LOST PROFITS) REGARDLESS OF THE FORM OF ACTION, WHETHER IN CONTRACT, TORT, NEGLIGENCE, STRICT PRODUCT LIABILITY, OR OTHERWISE, EVEN IF AUTORACK HAS BEEN INFORMED OF THE POSSIBILITY THEREOF IN ADVANCE. NOTWITHSTANDING ANY OTHER PROVISION OF THIS AGREEMENT, AUTORACK'S LIABILITY TO CLIENT UNDER THIS AGREEMENT SHALL NOT EXCEED, IN THE AGGREGATE, THE GREATER OF (i) FEES PAID BY CLIENT, IF ANY, TO AUTORACK UNDER THIS AGREEMENT **DURING THE 12-MONTH PERIOD PRECEDING THE INITIAL EVENT RESULTING IN SUCH CLAIMS AND** (ii) \$1,000.

12.2. **Limitations on Time.** No action may be brought under this agreement at any time more than **twelve (12) months** after the cause of action arose.

13. **Injunctive Relief.** It is expressly agreed that a material breach of this Agreement will cause irreparable harm to Autorack and that a remedy at law would be inadequate. Therefore, in addition to any and all remedies available at law, Autorack will be entitled to an injunction or other equitable remedies in all legal proceedings in the event of any such threatened or actual breach of this Agreement.

14. **Amendment.** Other than as provided in this Agreement, this Agreement may not be released, discharged, changed or modified except by an instrument in writing duly signed by both Parties. Neither the course of conduct between parties nor trade practice shall act to modify any provision of this Agreement.

15. **Venue.** Regardless of the place of signing this Agreement, Client agrees that for purposes of venue, this Agreement was entered into in **CA**, CA and shall be governed by the laws of the State of California. Any controversy or claim relating to this Agreement shall be settled by arbitration. Any arbitration arising out of this Agreement shall be administered by JAMS, pursuant to JAMS' Streamlined Arbitration Rules and

Procedures and judgment upon the award rendered by the arbitrator may be entered in any court having jurisdiction. For all matters arising out of or relating to this Agreement, Client agrees to submit to the jurisdiction of the State of California. The arbitration proceeding shall take place and the arbitration award given in writing in Los Angeles, California. In the event of litigation or arbitration to interpret or enforce the provisions of this Agreement, the prevailing party shall be entitled to recover all expenses, including reasonable attorney's fees incurred.

16. **Enforceability.** If any provision contained in this Agreement shall, for any reason, be held to be invalid, illegal or unenforceable in any respect, such invalidity, illegality or unenforceability shall be deemed severable from this Agreement and shall not affect any other provisions of this Agreement, and this Agreement shall be construed as if such invalid, illegal or unenforceable provision had never been contained herein. Notwithstanding the foregoing, if, any provision contained in this Agreement shall be held to be excessively broad as to time, duration, geographical scope, activity or subject, it shall be construed by limiting and reducing it, so as to be enforceable to the maximum extent compatible with the applicable law as it shall then appear.
17. **Transferability.** Client acknowledges that this Agreement, and its rights to the Application, the Services, and to any product of the Services are non-transferable and that none of these rights may be transferred, assigned or distributed by Client to any third party. Autorack has the right to freely assign this Agreement and its rights and obligations under this Agreement.
18. **Notice in Relation to Agreement.** Unless specifically provided otherwise in this Agreement, any notice to either Party given in relation or pursuant to this Agreement shall be in writing and shall be delivered personally, by messenger, electronic mail, or mail, postage prepaid, addressed as set forth above or by telecopy with receipt confirmed by telephone. Service of any such communication shall be deemed made on the date of actual receipt at such address. Any Party may, from time to time, by notice in writing served upon the other Party as aforesaid, designate a different address, different person, or reasonable additional persons to whom all communications are thereafter to be made.
19. **Waiver.** A waiver of, or failure to enforce any provision contained in this Agreement on any occasion shall not be deemed to be a continuing waiver or a waiver on any other occasion.
20. **Sole Agreement and Consents.** This Agreement, including any attachments to this Agreement, constitutes the entire agreement between the Parties with respect to the subject matter hereof and shall supersede all previous proposals, both oral and written, negotiations, representations, commitments, writings, and all other communication between the Parties, with respect to the Services. Client acknowledges that it is entering into this Agreement solely based on the representations contained herein. Any additional work not specified in this Agreement must be authorized by written change order. All prices and hourly rates specified in this Agreement will be honored for **[six (6)]** months after the date of this Agreement. Any instance in this Agreement that requires or provides for Autorack's consent, such consent may be withheld, conditioned, or delayed in Autorack's sole and absolute discretion.
21. **Headings.** The headings or titles of the various paragraphs of this Agreement are inserted merely for the purpose of convenience and do not expressly or by implication or intention, limit, define, extend or affect the meaning or interpretation of this Agreement or the specific terms or text of the section so designated.
22. **Electronic Signatures.** The Parties agree that any electronic signature of a Party to this Agreement and to any Exhibit, Attachment, or Addendum to this Agreement, shall be as valid as an original signature of such Party and shall be effective to bind such Party to this Agreement. Autorack shall be entitled to rely on the electronic signature of Client to authenticate this writing and to have the same force and effect as a manual signature.

The Parties have read the entire Agreement and understand and agree to the terms and conditions contained herein.

IN WITNESS WHEREOF, the Parties have executed this Agreement as of the date first written above.

Autorack, LLC
a California limited liability company

Client

By: _____

Its: _____

By: _____

Its: _____